SACCO Investments — Process Clarification Questions

Minet SACCO | For the SACCO's Accountant / Finance Team

Purpose. The SACCO wants to record its own investments properly (what is bought, how money moves, income earned, and what happens when an investment is sold or matures). To design this correctly we need to understand *how things work and what the rules are*.

Please note: we are not asking for any amounts, balances, lists of investments or other financial data. We only need explanations of the process, rules and terminology. Short answers or examples using made-up numbers are perfectly fine.

Answered by		Position	
Date		Contact	

A. Scope — what counts as an "investment"

A1. What kinds of things does the SACCO treat as an investment (as opposed to an ordinary expense, loan or bank balance)? Please explain in your own words.

A2. Are investments grouped into categories (for example by type, by risk, by short-term vs long-term)? What are the categories and what makes something fall into one or the other?

A3. Is every category recorded in the same way, or do some need special treatment (for example property, fixed-term deposits, or shares)?

A4. Does the SACCO ever invest through someone else (a broker, fund manager, bank or another SACCO)? If yes, how does that change how it is recorded?

B. The life of an investment

B1. Walk us through the life of a typical investment from the first idea to the end (decision, payment, holding, income, sale or maturity). What are the main steps and who does each one?

B2. What statuses does an investment pass through (for example: proposed, approved, active, matured, sold, written off)? Please name the ones you use.

B3. Can the SACCO add to an existing investment later (top-up or additional purchase), or is each purchase a separate investment? How do you tell them apart?

B4. Can part of an investment be sold or withdrawn? If so, how is the remaining part treated?

B5. What identifies an investment uniquely (certificate number, account number, contract reference, name)? Does one investment ever have several references?

C. Approvals and control

C1. Who is allowed to propose, approve, pay for and record an investment? Are these different people?

C2. Do approval rules depend on size, type or counterparty? Please describe the rules (using an example such as “above a certain level, the Board must approve”).

C3. What supporting documents are normally required and kept for an investment (decision, contract, certificate, receipt)? Which are mandatory before it can be recorded?

C4. How are mistakes corrected once an investment has been recorded and approved (reversal, adjusting entry, re-entry)? Is a reason always required?

D. How money moves

D1. When the SACCO invests, what exactly happens to the money from an accounting point of view? Which accounts are debited and credited (a plain description is fine)?

D2. Can an investment be paid for from more than one bank or cash account, or in instalments? How is that handled?

D3. What costs can be attached to buying or selling an investment (fees, commissions, duties, taxes)? Are they treated as part of the cost of the investment or as an expense?

D4. Is the SACCO's investment money kept separate from the money used for lending and member services, or is everything one pool? Are there rules about how much must stay liquid?

E. Income and returns

E1. What kinds of income can investments produce (dividends, interest, coupons, rent, gains)? How does each one arrive and how is it recorded?

E2. Is income recognised when it is earned or only when the cash is received? Does this differ by type of investment?

☐ When earned ☐ When received ☐ Depends (please explain below)

E3. How is tax on income handled (withheld at source, paid later, or not applicable)? Is the gross amount or the net amount recorded?

E4. What happens to investment income after it is recorded? Does it go to surplus, reserves, or is it paid out to members (for example as dividends or interest on shares)?

F. Value and accounting rules

F1. How is the value of an investment determined while it is held (original cost, cost adjusted over time, market value, valuer's opinion)? Does this differ by category?

F2. How often is value reviewed, and who is responsible for it? What happens when the value goes up or down?

F3. If the same investment has been bought several times, how is the cost worked out when part of it is sold (average cost, oldest first, a specific purchase)?

☐ Average cost ☐ Oldest first ☐ Specific purchase ☐ Not sure

F4. Which accounting standard or format must be followed (for example the SASRA prescribed format, IFRS for SMEs, full IFRS)? Does it change how investments are classified or measured?

F5. When is an investment considered impaired or written off, and who decides? How is that recorded?

G. Sales, maturity and closing

G1. What happens at maturity or sale? Describe the steps, the documents involved and how profit or loss is worked out and recorded.

G2. Can an investment be rolled over or renewed (for example a deposit that is reinvested)? Is it treated as a new investment or a continuation?

H. Periods, reports and compliance

H1. How are accounting periods closed? Once a month or year is closed, can anything for that period still be changed?

H2. What information do you need from an investment record to prepare the Board pack, the financial statements, and returns to the regulator? (We only need the *kinds* of information, not the figures.)

H3. What checks or reconciliations do you perform on investments (against bank, broker or issuer statements)? How often, and what do you look for?

H4. Are there regulatory or policy limits that investments must respect (per institution, per type, share of total assets, liquidity)? How should the record-keeping help you monitor them?

H5. What do external auditors typically need to see to be satisfied about investments? What would make their work easier?

I. Using the record-keeping

I1. **Who in the SACCO would need to view, record or approve investments, and who should only be able to see reports?**

I2. **What are the biggest difficulties or risks you face today when tracking investments (in general terms)? What would you like to be easier or more reliable?**

I3. **Is there anything in how the SACCO handles investments that is unusual, or that an outsider would likely misunderstand?**

> **Optional, only if convenient:** if the SACCO has a written investment policy, a standard approval form or a blank template of its investment report, please attach a *blank or sample copy* (with any figures removed). This is not required.

Thank you. Your answers will be used only to design a record-keeping process that matches how the SACCO actually works and meets its accounting, audit and regulatory requirements.